

Non-Solvency II Firms ? Governance

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1

Application and Definition

1.1

Unless otherwise stated, this Part applies to:

1. (1) a `_non-directive insurer_` ; and
2. (2) subject to 1.2, a `_Swiss general insurer_`.

1.2

Only Chapters 3 and 5 to 10 apply to a `_Swiss general insurer_` and only in respect of the activities of the `_firm_` carried on from a `_branch_` in the `_UK_`.

1.3

In this Part, the following definition shall apply:

`_registered branch_`

means a branch of a `_registered friendly society_` which is separately registered within the meaning of the Friendly Societies Act 1974.

2

General Governance for Small Non-Directive Insurers

2.1

This Chapter only applies to a `_small non-directive insurer_`.

2.2

A `_firm_` must take reasonable care to establish and maintain such systems and controls as are appropriate to its business.

2.3

A `_firm_` must take reasonable steps to establish and maintain adequate `_internal controls_`.

2.4

A `_firm_` must have in place an effective risk-management system.

2.5

A _firm?s_ risk-management system must ensure that the ___firm?s_ _governing body_ is furnished with the information it needs to contribute to identifying, measuring, managing and controlling risks which relate to the safety and soundness of _firms_.

2.6

A _firm_ must establish and maintain appropriate systems and controls for managing _operational risk_ that can arise from inadequacies or failures in its processes and systems (and, as appropriate, the systems and processes of third party suppliers, agents and others).

2.7

A _firm_ must establish and maintain appropriate systems and controls for the management of its IT system risks.

2.8

A _firm_ must establish and maintain appropriate systems and controls for the management of the risks involved in expected changes.

2.9

A _firm_ must provide for an effective internal audit function.

2.10

The internal audit function must monitor the appropriateness and effectiveness of the ___firm?s_ systems and controls.

2.11

The internal audit function must provide independent assurance to the _firm?s_ _governing body_, audit committee or an appropriate senior manager of the integrity and effectiveness of the _firm?s_ systems and controls.

3

General Governance for Large Non-Directive Insurers

3.1

This Chapter only applies to a _large non-directive insurer_ and a _Swiss general insurer_.

3.2

(1) A _firm_ must have in place an effective system of governance which provides for sound and prudent management of its business.

(2) The system of governance must include at least:

(a) an adequate transparent organisational structure with a clear allocation and appropriate segregation of responsibilities; and

(b) an effective system for ensuring the transmission of information.

(3) The system of governance must include compliance with the requirements laid down in:

(a) 3.5

(b) 4 to 10 (as applicable);

(c) Large Non-Solvency II Firms ? Fitness and Propriety 2.1 to 2.3, 4.1, 4.3 and 4.4; and

(d) Large Non-Solvency II Firms ? Allocation of Responsibilities 4.

(4) The system of governance must be subject to regular internal review.

3.3

A _firm?s_ system of governance must be proportionate to the nature, scale and complexity of its operations.

3.4

A _firm_ must:

(1) have written policies in relation to at least risk management, internal control, internal audit and, where relevant, _outsourcing_ ;

(2) make those policies subject to prior approval of its _governing body_ ;

(3) ensure those policies are implemented;

(4) review those policies at least annually; and

(5) adapt those policies in view of any significant change in the system or area concerned.

3.5

The written policy on risk management referred to in 3.4(1) must comprise at least the specific policies required by 7.2.

3.6

A _firm_ must take reasonable steps to ensure continuity and regularity in the performance of its activities, including the development of contingency plans, to which end, the _firm_ must employ appropriate and proportionate systems, resources and procedures.

3.7

A _firm_ (other than a _Swiss general insurer_) must engage a broad set of qualities and competences when recruiting members to the _governing body_.

3.8

A _firm_ must put in place a policy promoting diversity on the _governing body_.

3.9

A _firm_ that maintains a website must explain on the website how it complies with the requirements of 3.7 and 3.8.

4

Governance for Non-Directive Friendly Societies

4.1

This Chapter only applies to a _non-directive insurer_ that is also a _non-directive friendly society._

4.2

A _firm_ must take reasonable steps to ensure that it does not carry on activities beyond its powers.

4.3

A _firm_ must take reasonable steps to ensure that it and its _registered branches_ comply with:

- (1) any requirements of or under the Friendly Societies Act 1992 or _FSMA_ which relate to the conduct of its _insurance business_ ; and
- (2) any requirement which is otherwise applicable to its insurance activities.

4.4

A _firm_ must supervise the activities of any:

- (1) _subsidiary_ ;
- (2) _jointly controlled body_ ; and
- (3) _registered branch_ of the _firm_ ;

with due care and diligence, having due regard to the interests of its _policyholders_ and without detriment to the conduct of the _firm's_ activities.

4.5

A _firm_ must ensure that every _jointly controlled body_ and _registered branch_ complies with:

- (1) 2.2 or 3.2, whichever is applicable; and
- (2) any applicable requirements of _FSMA_ and the Friendly Societies Act 1992.

4.6

A _firm_ must and must procure that each _registered branch_ :

- (1) keeps adequate accounting records; and
- (2) establishes and maintains adequate systems of control of its business and records and of inspection and reporting.

4.7

A _firm_ must ensure that the systems of control and of inspection and reporting are adequate to enable the _governing body_ to properly discharge:

- (1) the duties imposed on it by or under _FSMA_ , the Friendly Societies Act 1992 or the Friendly Societies Act 1974; and
- (2) the functions of direction of the affairs of the _friendly society_ or _registered branch_.

No such system of control will be treated as adequate unless there is kept available to the _governing body_ a detailed statement in writing of the system as in operation for the time being.

4.8

A _firm_ must ensure that the systems of control and of inspection and reporting ensure that its:

1. (1) activities are conducted; and
2. (2) records that are kept are:
 1. (a) sufficiently accurate; and
 2. (b) available when required,

to enable the _governing body_ to discharge its duties and functions.

4.9

A _firm_ must within the period of 6 months beginning with the end of each _financial year_ make and send to the _PRA_ a statement of their opinion whether the requirements of 4.6 to 4.8 have been complied with in respect of that year by the _firm_ and the statement must be signed by the chair on behalf of the _governing body_ and by the chief executive.

5

Outsourcing

5.1

A _firm_ must take reasonable care to supervise the discharge of _outsourced_ functions by an _outsourced_ provider.

5.2

A _firm_ must take steps to obtain sufficient information from its _outsourced_ provider to enable it to assess the impact of _outsourcing_ on its systems and controls.

5.3

Before entering into, or significantly changing, an _outsourcing_ arrangement, a _firm_ must:

1. (1) analyse how the arrangement will fit with its organisation and reporting structure, business strategy, overall risk profile and ability to meet its regulatory obligations;
2. (2) consider whether the agreements establishing the arrangement will allow it to monitor and control its operational risk exposure relating to the _outsourcing_ ;
3. (3) conduct appropriate due diligence of the service provider's financial stability and expertise; and
4. (4) consider how it will ensure a smooth transition of its operations from its current arrangements to a new or changed _outsourcing_ arrangement, including what will happen on the termination of the contract or following a significant loss of services from the service provider.

6

Records

6.1

A _firm_ must take reasonable care to make and retain adequate records of matters and dealings (including accounting records) which are the subject of requirements and standards under the _regulatory system_.

6.2

The records required by 6.1 must be capable of being reproduced on paper and:

1. (1) in English; or
2. (2) if a _firm?s_ records relate to business carried on from an establishment in a country or territory outside the _UK_, the official language of that country or territory.

6.3

A _firm_ must make and regularly update accounting and other records that are sufficient to enable the _firm_ to demonstrate to the _PRA_ :

- (1) that the _firm_ is financially sound and has appropriate systems and controls;
- (2) the _firm?s_ financial position and exposure to risk (to a reasonable degree of accuracy); and
- (3) the _firm?s_ compliance with applicable rules.

6.4

A _firm_ must retain the records in 6.1 and 6.3 for the longer of either:

- (1) three years; or
- (2) for as long as they are relevant for the purposes for which they were made.

6.5

A _firm_ must be able to make available the records in 6.1 and 6.3 within a reasonable timeframe when requested to do so by the _PRA_.

6.6

A _firm_ must keep the records required in 6.1 and 6.3 in the _UK_, except where:

- (1) they relate to business carried on from an establishment in a country or territory that is outside the _UK_; and
- (2) they are kept in that country or territory.

6.7

When a _firm_ keeps the records required in 6.1 and 6.3 outside the _UK_, it must periodically send an adequate summary of those records to the _UK_.

7

Business Planning and Risk Management

7.1

A _firm_ must take reasonable steps to ensure the establishment and maintenance of:

- (1) a business plan; and
- (2) appropriate systems for the management of prudential risk.

7.2

A _firm?s_ business planning must involve the creation and maintenance of specific risk policies that outline a _firm?s_ strategy and objectives for the identification and management of at least its market, credit, liquidity, _reinsurance_ , operational, insurance and group risks and the processes that it intends to adopt to achieve these objectives.

7.3

When establishing and maintaining its business plan and prudential risk management systems, a _firm_ must document:

1. (1) an explanation of its overall business strategy, including its business objectives;
2. (2) a description of, as applicable, its policies towards market, credit (including provisioning), liquidity, operational, insurance and group risks (that is, its risk policies), including its appetite or tolerance for these risks and how it identifies, measures or assesses, monitors and controls these risks;
3. (3) the systems and controls that it intends to use in order to ensure that its business plan and risk policies are implemented correctly;
4. (4) a description of how the _firm_ accounts for assets and liabilities, including the circumstances under which items are netted, included or excluded from the _firm?s_ balance sheet and the methods and assumptions for valuation;
5. (5) appropriate financial projections and the results of its stress testing and scenario analysis;
6. (6) details of, and the justification for, the methods and assumptions used in financial projections and stress testing and scenario analysis; and
7. (7) its procedures to allow managers to monitor the application and effect of its _reinsurance_ programme.

7.4

A _firm?s_ business plan and risk management systems must be effectively communicated so that all _employees_ understand and adhere to the procedures related to their own responsibilities.

8

Internal Control

8.1

This Chapter only applies to a _large non-directive insurer_ and a _Swiss general insurer_.

8.2

1. (1) A _firm_ must have in place an effective internal control system.
2. (2) That system must include administrative and accounting procedures, an internal control framework, appropriate reporting arrangements at all levels of the _firm_ and a compliance _function_.

8.3

The compliance _function_ referred to in 8.2(2) must include:

1. (1) advising the _governing body_ on compliance with applicable rules; and
2. (2) an assessment of the possible impact of any changes in the legal environment on the operations of the _firm_ concerned and the identification and assessment of compliance risk.

8.4

A _firm_ must have internal processes and procedures in place to ensure the appropriateness, completeness and accuracy of the data used in the calculation of its _technical provisions_.

9

Internal Audit

9.1

This Chapter only applies to a _large non-directive insurer_ and a _Swiss general insurer_.

9.2

(1) A _firm_ must provide for an effective internal audit _function_.

(2) The internal audit _function_ must:

(a) include an evaluation of the adequacy and effectiveness of the internal control system and other elements of the system of governance; and

(b) be objective and independent from the operational _functions_.

(3) A _firm_ must ensure that any findings and recommendations of the internal audit _function_ are reported to the _firm?s_ _governing body_ which must:

(a) determine what actions are to be taken with respect to each of the internal audit findings and recommendations; and

(b) ensure that those actions are carried out.

10

Actuarial Function

10.1

This Chapter only applies to a _large non-directive insurer_ and a _Swiss general insurer_.

10.2

A _firm_ must provide for an effective actuarial _function_ to:

1. (1) coordinate the calculation of _technical provisions_ ;

2. (2) ensure the appropriateness of the methodologies and underlying models used, as well as the assumptions made in the calculation of _technical provisions_ ;

3. (3) assess the sufficiency and quality of the data used in the calculation of _technical provisions_ ;

4. (4) inform the _governing body_ of the reliability and adequacy of the calculation of _technical provisions_ ;

5. (5) express an opinion on the overall underwriting policy;

6. (6) express an opinion on the adequacy of _reinsurance_ arrangements; and

7. (7) contribute to the effective implementation of the risk management system referred to in 7.1.

10.3

The actuarial _function_ must be carried out by _persons_ who have knowledge of actuarial and financial mathematics, commensurate with the nature, scale and complexity of the risks inherent in the _firm?s_ business, and who are able to demonstrate their relevant experience with applicable professional and other standards.